

18

Managing Mass Communications: Advertising, Sales Promotions, Events and Experiences, and Public Relations

Marketing Management, 13th ed

Chapter Questions

- What steps are involved in developing an advertising program?
- How should sales promotion decisions be made?
- What are the guidelines for effective brand-building events and experiences?
- How can companies exploit the potential of public relations and publicity?

GEICO Relies Heavily on TV Advertising

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- American Customer Satisfaction Index
- Brand Loyalty



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Did You Know ...

[GEICO offers great motorcycle rates](#)
Our motorcycle insurance is specifically designed to give our customers the coverage they need - giving them peace of mind out on the open road.

[GEICO offers special military discounts](#)
Providing those serving our country with discounted and affordable insurance is something we take pride in.

What is Advertising?

Advertising is any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor.

Procter & Gamble's Advertising History

HURRY, FOLKS! GET 'EM RIGHT AWAY!

2 "musts" for your beauty bath!

1

Get Ivory Soap today
ENJOY A BUDDY IVORY BATH—
IT'S PURE PLEASURE!

Pamper yourself with pure, solid Ivory Soap! It lathers your skin fluffing soft, tender. (Moisturizes and skin specialists advise Ivory for skin care more than any other soap.) There's no need to spend more! Pure, solid Ivory means more lather, faster, than any other leading bath soap. Ivory Soap's clean fresh odor! And you'll agree on Ivory's pure pleasure!

99 44/100% pure... it floats



2

Get this beautiful Lucite Bath Brush—

\$3.50 RETAIL VALUE for ONLY 75¢
 WITH 3 LARGE OR 6 MEDIUM IVORY BRISTLES

What a bargain! This beauty brush—contains 144 inches long—has a handle of gleaming, clear Lucite. The front nylon bristles stand in the shape of a comb. It's perfect for every day use. It's light as a feather. Ivory Soap's pure pleasure! It's the perfect beauty brush for your bath.

HURRY! TIME FOR YOUR BATH TODAY! OFFER LIMITED!

NOTE: BRUSH, Type 31, Box 11, Cincinnati, Ohio.

3 months. The 3 months offer cannot be extended and 3 large Ivory brushes, or 6 medium Ivory brushes. Please send this, your card, and a self-addressed envelope to the nearest Procter & Gamble store or to the nearest Procter & Gamble store.

Offer expires September 30, 1955. Offer valid only for purchases of 10 or more Ivory Soap. No cash or other consideration. Offer good in continental United States and Alaska.

Copyright Advertising, Inc. 1955-1956. No. 1000. Printed in U.S.A. 1000. 1000. 1000.

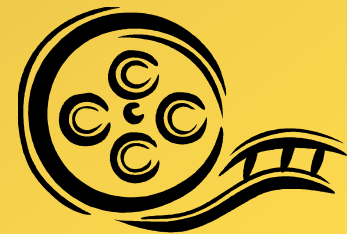
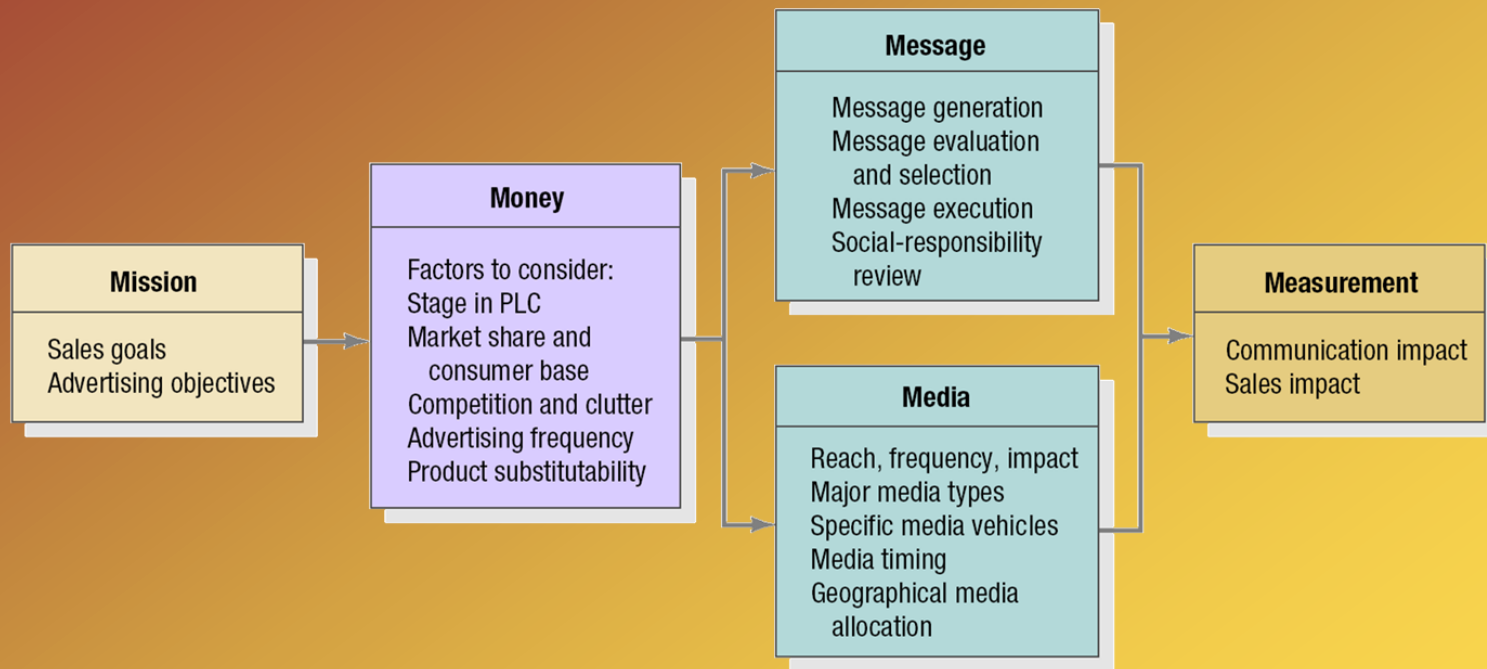


Figure 18.1 The Five M's of Advertising



Advertising Objectives

**Informative
advertising**

**Persuasive
advertising**

**Reminder
advertising**

**Reinforcement
advertising**

Factors to Consider in Setting an Advertising Budget



Stage in the product life cycle

Market share and consumer base

Competition and clutter

Advertising frequency

Product substitutability

Developing the Advertising Campaign

- Message generation and evaluation
- Creative development and execution
- Legal and social issues



Television

Advantages

- Reaches broad spectrum of consumers
- Low cost per exposure
- Ability to demonstrate product use
- Ability to portray image and brand personality

Disadvantages

- Brief
- Clutter
- High cost of production
- High cost of placement
- Lack of attention by viewers

Print Ads

Advantages

- Detailed product information
- Ability to communicate user imagery
- Flexibility
- Ability to segment

Disadvantages

- Passive medium
- Clutter
- Unable to demonstrate product use

Print Ad Components

Picture



Can your insurance do this?

Headline

Copy

Who's going to help pay for life's necessities if you get sick or hurt and can't work?

Aflac does what major medical insurance doesn't. It puts cash in your pocket and in a hurry, helping you put food on the table, pay the rent, and take care of other bills. And if you're laid up, those bills sure can pile up. Nearly half of the one-million Americans who filed for bankruptcy last year did so after being sidelined with an unexpected sickness or injury. The majority of those people did have major medical insurance, they just didn't have income. Just visit aflac.com, ask about Aflac at work, or call 1-800-99-AFLAC today. And get Aflac insurance policies to help protect the breadwinner in your family.

Aflac

There's only one Aflac.

Signature

NA00703

©2007 American Family Life Assurance Company of Columbus (Aflac)

Print Ad Evaluation Criteria

- Is the message clear at a glance?
- Is the benefit in the headline?
- Does the illustration support the headline?
- Does the first line of the copy support or explain the headline and illustration?
- Is the ad easy to read and follow?
- Is the product easily identified?
- Is the brand or sponsor clearly identified?

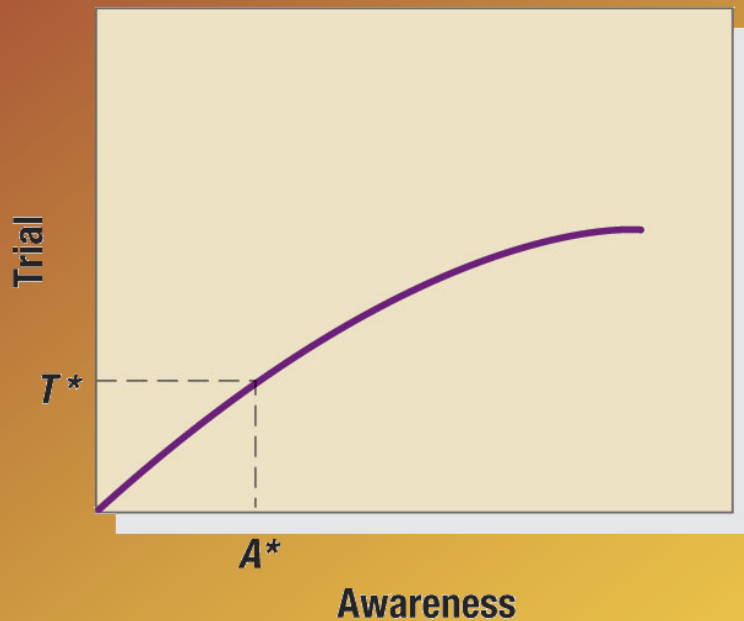
Media Selection

MEDIA	V	VI	VII	VIII	IX	X	XI	XII	I	II	III	IV
TELEVISION												
SKY												
MTV												
CNN												
EUROSPORT												
MAGAZINES												
COSMO												
PLAYBOY												
WIRED												
TIME												
FORBES												
INTERNET BANNERS												
TOP 30												
TOP 20												

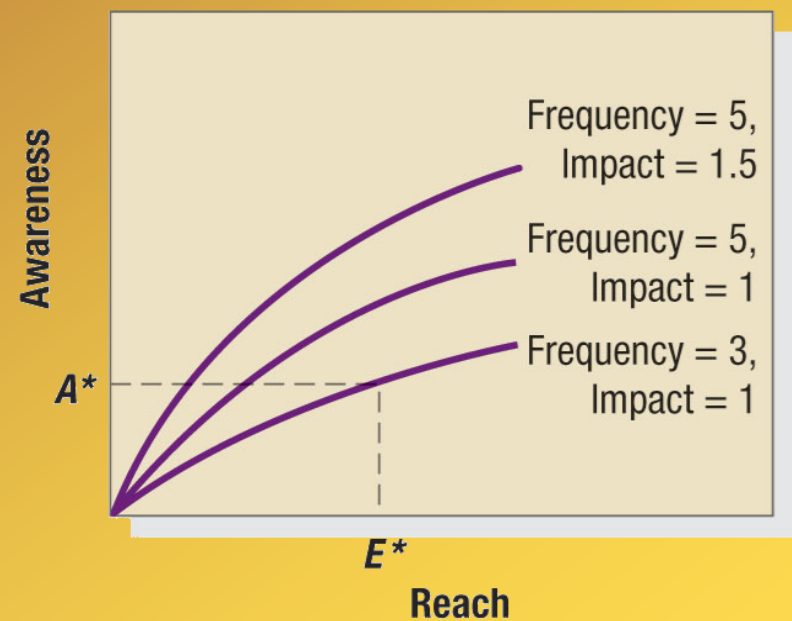
- Reach
- Frequency
- Impact
- Exposure

Figure 18.2 Relationship Among Trial, Awareness, and the Exposure Function

(a) Relationship between Product Trial Rate and Audience Awareness Level



(b) Relationship between Audience Awareness Level and Exposure Reach and Frequency



Reach x Frequency = GRPs



4) GRPs	Monday	= 20 Rtg	Thursday	= 30 Rtg
	Tuesday	= 30 Rtg	Friday	= 30 Rtg
	Wednesday	= 40 Rtg	Total	= 150 GRPs

5) Reach	$\frac{7}{10}$	$\frac{\text{Channel 2 households}}{\text{Total TV households}}$	= 70
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6) Frequency	$\frac{150}{70}$	$\frac{\text{GRPs}}{\text{Reach}}$	= 2.1
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or GRPs=Reach x Frequency

Choosing Among Major Media Types

- Target audience and media habits
- Product characteristics
- Message characteristics
- Cost



Major Media Types

- Newspapers
- Television
- Direct mail
- Radio
- Magazines
- Outdoor
- Yellow Pages
- Newsletters
- Brochures
- Telephone
- Internet

Table 18.2 Marketing Communication Expenditures (2007)

Media	\$	% of Total
TV	72.1	32
Radio	20.9	9
Internet	16.7	8
Magazines	23.7	11
Newspaper	45.8	20

Place Advertising

- Billboards
- Public spaces
- Product placement
- Point-of-purchase



Virtual Worlds as a Media Vehicle



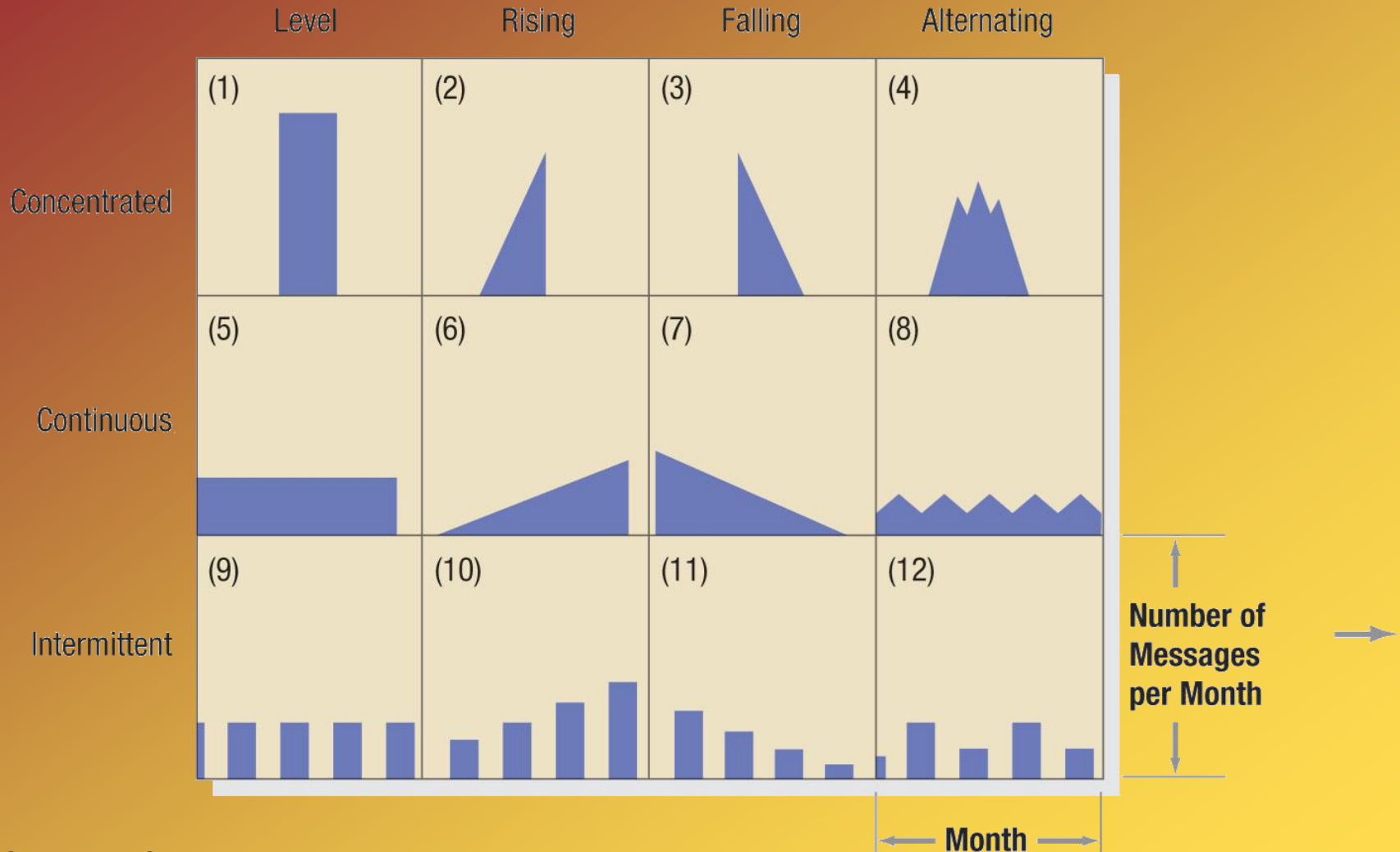
Measures of Audience Size

- Circulation
- Audience
- Effective audience
- Effective ad-exposed audience

Top 10 Broadcast TV Programs for the week of January 21, 2008 (Live+SD)

Rank*	Program	Network	Rating**	Viewers***	Chart by Rating
1	American Idol-Tuesday	FOX	16.2	29.274	
2	American Idol-Wednesday	FOX	15.1	27.091	
3	Moment of Truth	FOX	12.9	23.046	
4	60 Minutes	CBS	9.5	14.48	
5	CSI	CBS	8.6	13.268	
5	Hallmark Hall of Fame(S)	CBS	8.6	12.726	
7	Deal Or No Deal-Mon	NBC	8.5	14.238	
7	Deal Or No Deal-Wed	NBC	8.5	13.664	
7	House	FOX	8.5	13.91	
10	Law And Order: SVU	NBC	8.4	12.984	

Figure 18.3 Classification of Advertising Timing Patterns



Factors Affecting Timing Patterns

- Buyer turnover
- Purchase frequency
- Forgetting rate

TAPSCAN ReachMaster Schedule Analysis

Sample Client - Sample Campaign

WILMINGTON
SPRING 1998 ARBITRON
METRO Survey Area
5/3/1999 - 5/16/1999

MEN 35-44
Population: 116,899
2 Week Schedule Analysis

SCHEDULE DESCRIPTION

DAYPART	# WKS	SPOTS	RATE	AVG RTG	CUME RTG	REACH %	FREQ	EFF RCH %	GRR%	GRP	CPB	TOTAL COST
WSTW-FM												
Week 1: 5/3/99 - 5/9/99												
M-F 6A-6P~	2	8	\$135	2.6%	13.8%	8.9%	2.3	3.9%	20.5	\$52.56		\$1,080.00
SA 10A-11A~	2	1	\$115	1.0%	1.5%	1.0%	1.0	0.0%	1.0	\$111.93		\$115.00
TOTALS 5/3/99 - 5/9/99	9	9	\$133	2.4%	14.0%	9.1%	2.4	4.2%	21.6	\$55.29		\$1,195.00
Week 2: 5/10/99 - 5/16/99												
M-F 6A-6P~	2	10	\$135	2.6%	13.8%	9.9%	2.7	4.8%	25.7	\$52.56		\$1,300.00
SA 10A-11A~	2	1	\$115	1.0%	1.5%	1.0%	1.0	0.0%	1.0	\$111.93		\$115.00
TOTALS 5/10/99 - 5/16/99	11	11	\$133	2.4%	14.0%	9.8%	2.7	6.9%	26.7	\$54.84		\$1,465.00
TOTALS WSTW-FM	20	20	\$133	2.4%	14.0%	11.3%	4.3	7.3%	48.3	\$55.09		\$2,660.00
WJBR-FM												
Week 1: 5/3/99 - 5/9/99												
M-F 6A-6P~	2	10	\$140	2.3%	19.5%	11.2%	2.1	4.8%	23.1	\$60.56		\$1,400.00
SA 5A-10A~	2	1	\$50	1.5%	4.1%	1.5%	1.0	0.0%	1.5	\$32.44		\$50.00
SA 12N-2P~	2	1	\$100	1.8%	3.3%	1.8%	1.0	0.0%	1.6	\$61.47		\$100.00
TOTALS 5/3/99 - 5/9/99	12	12	\$128	2.2%	21.1%	12.7%	2.1	5.6%	26.2	\$58.87		\$1,550.00
Week 2: 5/10/99 - 5/16/99												
M-F 6A-6P~	2	15	\$140	2.3%	19.5%	13.0%	2.7	6.8%	34.7	\$60.56		\$2,100.00
SA 5A-10A~	2	1	\$50	1.5%	4.1%	1.5%	1.0	0.0%	1.5	\$32.44		\$50.00
SA 12N-2P~	2	2	\$100	1.8%	3.3%	2.2%	1.5	0.0%	3.3	\$61.47		\$200.00
TOTALS 5/10/99 - 5/16/99	18	18	\$131	2.2%	21.1%	14.3%	2.8	7.3%	39.8	\$59.94		\$2,350.00
TOTALS WJBR-FM	30	30	\$128	2.2%	21.1%	16.4%	4.9	10.6%	65.8	\$59.31		\$3,900.00
WRDX-FM												
Week 1: 5/3/99 - 5/9/99												
M-F 1P-5P~	2	5	\$90	1.9%	7.7%	4.8%	2.0	1.6%	9.4	\$47.78		\$450.00
TOTALS 5/3/99 - 5/9/99	5	5	\$90	1.9%	7.7%	5.0%	1.8	1.6%	9.4	\$47.78		\$450.00
Week 2: 5/10/99 - 5/16/99												
M-F 1P-5P~	2	10	\$90	1.9%	7.7%	5.9%	3.2	3.2%	18.8	\$47.78		\$900.00
SA 12N-2P~	2	1	\$60	1.3%	2.6%	1.3%	1.0	0.0%	1.3	\$46.72		\$60.00
TOTALS 5/10/99 - 5/16/99	11	11	\$87	1.8%	8.5%	6.4%	3.2	3.2%	20.1	\$47.71		\$960.00
TOTALS WRDX-FM	16	16	\$88	1.8%	8.5%	6.9%	4.2	4.4%	29.5	\$47.74		\$1,410.00

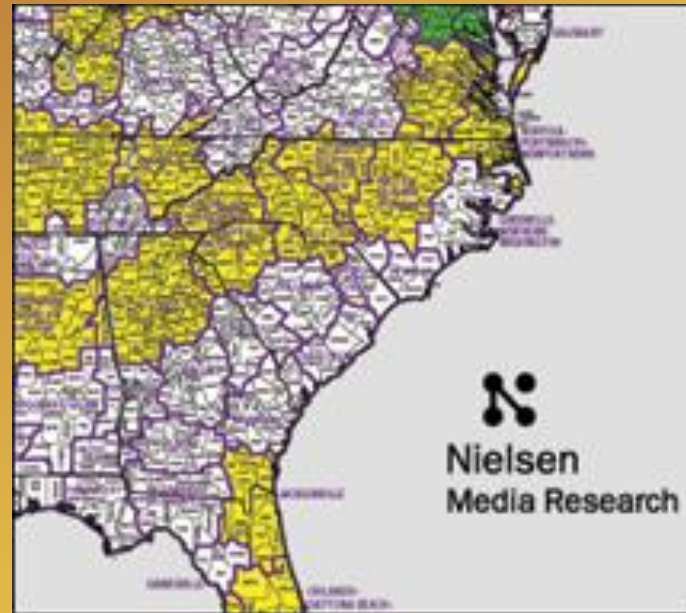
Note: Audience estimates for this segment are derived by TAPSCAN based on Arbitron's copyrighted and proprietary audience estimates. They are not estimates processed by Arbitron.

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Media Schedule Patterns

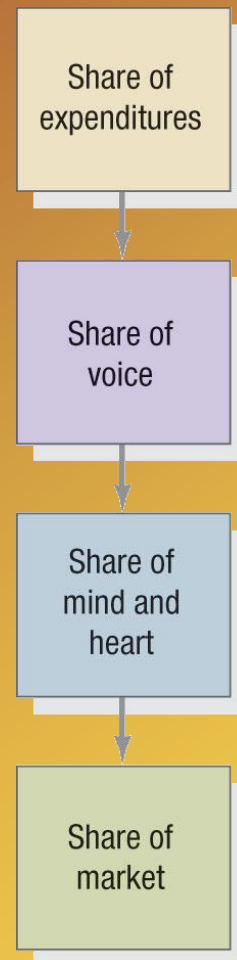
- Continuity
- Concentration
- Flighting
- Pulsing



Evaluating Advertising Effectiveness

- Communication-Effect Research
 - Consumer feedback method
 - Portfolio tests
 - Laboratory tests
- Sales-Effect Research

Figure 18.4 Formula for Measuring Sales Impact of Advertising



What is Sales Promotion?

Sales promotions consist of a collection of incentive tools, mostly short term, designed to stimulate quicker or greater purchase of particular products or services by consumers or the trade.

Sales Promotion Tactics

Consumer-directed

- Samples
- Coupons
- Cash refund offers
- Price offs
- Premiums
- Prizes
- Patronage rewards
- Free trials
- Tie-in promotions

Trade-directed

- Price offs
- Allowances
- Free goods
- Sales contests
- Spiffs
- Trade shows
- Specialty advertising

Using Sales Promotions



Events and Experiences

- \$14.9 billion spent on sponsorship in 2007
 - 66% sports
 - 11% tours
 - 5% festivals, fairs
 - 5% arts
 - 10% causes



Why Sponsor Events?

- To identify with a particular target market or life style
- To increase brand awareness
- To create or reinforce consumer perceptions of key brand image associations
- To enhance corporate image
- To create experiences and evoke feelings
- To express commitment to community
- To entertain key clients or reward employees
- To permit merchandising or promotional opportunities

Using Sponsored Events



Ideal Events

Audience closely matches target market

Event generates media attention

Event is unique with few sponsors

Event lends itself to ancillary activities

Event enhances brand image of sponsor

Customer Experience Management: Experience Providers

- Communications
- Identity
- Product presence
- Co-branding
- Environments
- Internet
- Electronic media
- People

Steps in the CEM Framework



Analyze the customer's experiential world

Build the experiential platform

Design the brand experience

Structure the customer interface

Engage in continuous innovation

Tasks Aided by Public Relations

- Launching new products
- Repositioning a mature product
- Building interest in a product category
- Influencing specific target groups
- Defending products that have encountered public problems
- Building the corporate image in a way that reflects favorably on products

Public Relations Functions

- Press relations
- Product publicity
- Corporate communications
- Lobbying
- Counseling

Major Tools in Marketing PR



- Publications
- Events
- Sponsorships
- News
- Speeches
- Public Service Activities
- Identity Media

Decisions in Marketing PR



Marketing Debate

✓ Should marketers test advertising?

Take a position:

1. Ad pretesting is an unnecessary waste of marketing dollars.

or

2. Ad pretesting provides an important diagnostic function for marketers as to the likely success of an ad campaign.

Marketing Discussion

- ✓ What are some of your favorite TV ads? Why?
- ✓ How effective are the message and creative strategies?
- ✓ How are they building brand equity?